

## THE SESSION · POST-CLOSE READ

# The Bid *Broadens*

*The Treasury doubled its long-bond buybacks, the 30-year backed away from Tuesday's high, and the bid moved to gold, digital assets and health care while AI hardware kept de-risking. Growth Portfolio +2.25%; Dividend Strategy +0.19%.*

S&amp;P 500 ▲ 0.21%

NASDAQ ▲ 0.17%

DOW ▲ 0.22%

VIX 14.91

BRENT ▲ \$91

## ■ DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

## +0.19%

1-DAY

|     |             |        |
|-----|-------------|--------|
| FCI | <div></div> | +0.19% |
| DVY | <div></div> | +0.32% |
| SPY | <div></div> | +0.23% |

YTD +22.19% vs DVY +19.07% · SPY +13.39%

## ■ GROWTH PORTFOLIO

▲ BEAT IUSG

## +2.25%

1-DAY

|      |             |        |
|------|-------------|--------|
| FCI  | <div></div> | +2.25% |
| IUSG | <div></div> | -0.21% |

YTD +21.22% vs IUSG +13.77%

## THE SESSION

**T**he Treasury, not the Federal Reserve, set Wednesday's tone. A day after the 30-year yield reached its highest level since 2007, the Department said it would double the size of its buyback operations in longer-dated bonds, and the long end reversed: the 30-year eased roughly eight basis points to about 5.20% and the 10-year five to 4.65%. Equities took the offer. The S&P 500 closed at 7,708.03, up 0.21%; the Dow added 0.22% and the Nasdaq 0.17%. The VIX settled at 14.91, down close to six percent on the session, and advancing issues outpaced decliners better than two-to-one on the NYSE. Minutes from the July 28–29 FOMC meeting, released at 2:00 p.m., showed several participants prepared to raise rates and many arguing a hike would be warranted if inflation does not return to the 2% objective. The tape barely registered it.

The morning framing treated Tuesday as a duration event — the most extended semiconductor names repriced hardest as the long end backed up. Wednesday tested that frame and partly broke it. Yields fell,

and the AI hardware complex sold anyway: Lam Research –6.33%, Keysight –6.31% in a second post-earnings session, Credo –4.53%, AMD –3.71% and Fortinet –3.27%. That is a confidence question about the capital-spending cycle, not a rates question. What did work was everything a softer dollar touches. The dollar index slid to its weakest level in roughly three months; gold pressed toward \$4,500 and carried the senior producers with it, Agnico Eagle +11.19% and Freeport +4.18%. Bitcoin traded above \$69,000 for the first time since June on the Treasury announcement and a proposed SEC framework for digital-asset registration, lifting IBIT +5.96% and ETHA +9.97% alongside Marathon +7.70%, Robinhood +4.63% and SoFi +4.42%. Health care led all eleven S&P 500 sectors, up close to three percent, after Moderna and Merck reported that their personalized mRNA vaccine met its primary endpoint in a Phase 3 melanoma trial.

*A portfolio built to own businesses does not need the whole tape to agree. On Wednesday it did not, and ownership still worked.*

The Growth Portfolio returned +2.25% against IUSG at -0.21%, a 246-basis-point session and the clearest evidence this month that the sleeve is not a semiconductor proxy. Marvell's +9.85% came from an 8-K rather than a multiple: a commercial agreement placing the company inside Google's custom-silicon roadmap. The Dividend Strategy returned +0.19%, trailing DVY at +0.32% and SPY at +0.23% by a handful of basis points, and the gap was concentrated in a few names. Steel Dynamics fell 7.53% on the Canada tariff report; Lam Research,

Caterpillar -2.96% and Lockheed Martin -2.92% did the rest. Against them, ADP +2.94%, Stryker +2.62%, Quest +2.31%, SS&C +2.17%, S&P Global +2.11% and Genuine Parts +1.98% did the offsetting work — six holdings up more than two percent inside a sleeve that finished essentially flat. Year to date the Dividend Strategy stands at +22.19% against DVY's +19.07% and SPY's +13.39%; the Growth Portfolio at +21.22% against IUSG's +13.77%.

## FCI HOLDINGS · NOTABLE MOVERS

## WINNERS

**AEM +11.19%**

GROWTH

Senior gold producers tracked bullion higher as the dollar index slid to its weakest reading in roughly three months. The move followed the metal rather than any company announcement.

**MRVL +9.85%**

GROWTH

An 8-K disclosed a commercial agreement making Marvell a custom-silicon partner across Google's TPU ecosystem, paired with a warrant vesting against revenue milestones.

**MARA +7.70%**

GROWTH

Bitcoin traded above \$69,000 for the first time since June after the Treasury buyback expansion and a proposed SEC registration framework for digital assets. Miners carried the move with leverage.

## DECLINERS

**STLD -7.53%**

DIVIDEND

Bloomberg reported a tentative U.S.-Canada agreement would cut duties on certain Canadian steel and aluminum exports to 25%. Domestic mills gave back part of the Section 232 premium, with Nucor and Cleveland-Cliffs lower alongside.

**LRCX -6.33%**

DIVIDEND

Wafer-fabrication equipment sold for a second session even as Treasury yields eased — a signal the group is trading on AI capital-spending confidence rather than on rates.

**ADP +2.94%**

DIVIDEND

Employer-services compounders drew a bid as the long end reversed. No company-specific catalyst; the name led the Dividend sleeve's advancing side.

**SYK +2.62%**

DIVIDEND

Health care led all eleven S&P 500 sectors after the Moderna-Merck Phase 3 melanoma readout. Medical technology participated in the sector bid.

**KEYS -6.31%**

GROWTH

A second session lower despite fiscal Q3 adjusted EPS of \$3.07 on \$1.846 billion of revenue and a raised fourth-quarter outlook. A high multiple met a de-risking AI supply chain.

**CRDO -4.53%**

GROWTH

Connectivity and optical names extended the AI-hardware de-risking that began Tuesday. The position remains among the most volatile expressions of that trade.

**AMD -3.71%**

GROWTH

Large-cap AI silicon stayed on the wrong side of the day's rotation as information technology lagged a broadly higher tape.

## HOLDINGS NEWS

**Marvell's Google agreement is a share-gain event, not a sentiment event.** An 8-K filed Wednesday disclosed an expanded commercial agreement under which Marvell will develop custom semiconductors attaching to Google's TPU ecosystem — AI inference accelerators, storage and network interface controllers, memory interfaces and near-memory compute. Marvell issued Google a warrant on up to 58,970,907 shares at an exercise price of \$206.58, roughly 7% of shares

outstanding, with the bulk vesting against incremental revenue milestones rather than time. Broadcom, the incumbent supplier across prior TPU generations, closed lower on the same headline. The structure is the point: it ties the dilution to the revenue that would justify it, and it gives multi-year visibility into a program we do not otherwise get to underwrite.

**Keysight delivered the quarter and the stock fell for a second day.** Fiscal third-quarter adjusted earnings came in at \$3.07 per share on revenue of \$1.846 billion, up 36.5% year over year, with commercial communications revenue up 56% on AI data-center test demand and segment operating margin widening from 26% to 34%. Management

raised the full-year outlook and guided fourth-quarter earnings to \$3.34–\$3.40 against a consensus near \$2.70. Shares fell 7.2% on earnings day and another 6.31% Wednesday. Nothing in the print explains that; the multiple and the broader de-risking across AI hardware do. We own the business, not the week.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+22.19%

vs DVY +19.07% / SPY +13.39%

GROWTH PORTFOLIO

+21.22%

vs IUSG +13.77%